

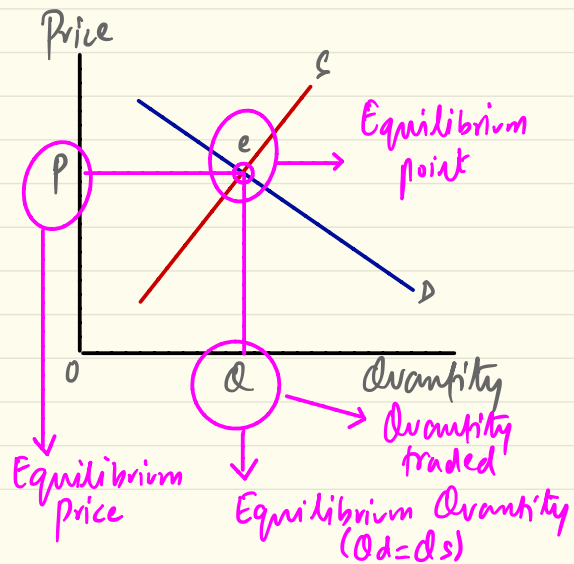
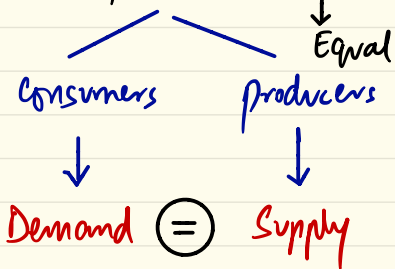
Olevel economics

Chp :- Demand and Supply

Topic :- Equilibrium and Dis-equilibrium

Zarak
Nushtaq

Market Equilibrium

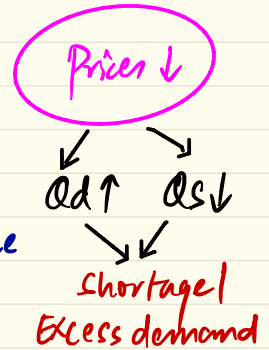
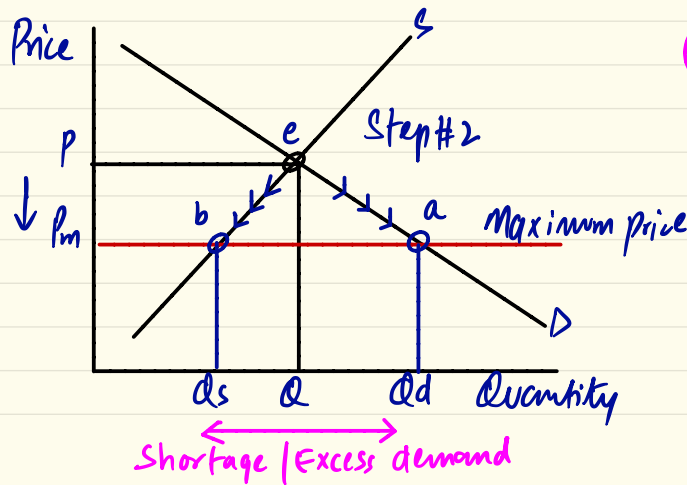
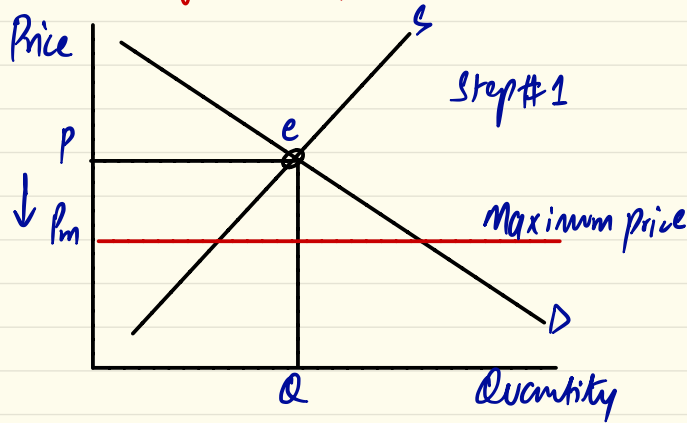


Note:- Equilibrium is a position of rest, where demand and supply are equal, that is no pressure on price, neither shortage (where quantity demand exceeds quantity supplied) nor surplus (where quantity supplied exceeds quantity demand).

Note:- Price mechanism, where prices are determined by the forces of demand and supply, where prices provide signal to the producer to allocate resources in profit maximizing manner.

Dis-equilibrium $\Rightarrow$ Existence of shortage ($Q_d > Q_s$) or surplus ($Q_s > Q_d$)

$D \neq S$

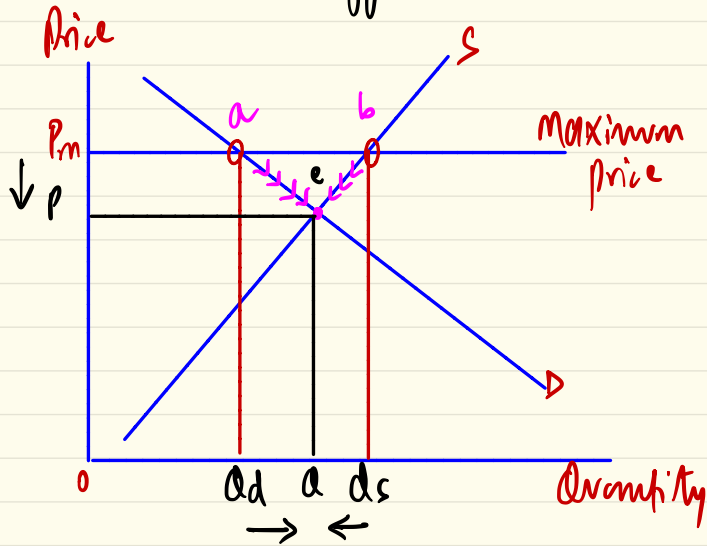


- ① Maximum price
 - ★ Imposed by government
 - ★ For consumers
 - ★ making goods affordable
 - ★ Necessity goods
 - ★ Reducing expenditure of consumers
 - ★ Must be imposed below the equilibrium

Maximum price :-

Maximum price is a government intervention where the target is to reduce the price of basic necessity products, in order to benefit consumers, as they will see fall in total expenditure. To be effective, maximum price must be imposed below the equilibrium but once imposed it can lead to shortage (where quantity demand exceeds quantity supplied) because a fall in price attracts consumers and they are ready to purchase greater units at lower price, but producers are reluctant as they contract quantity supplied, thus existence of excess demand or shortage!

Ineffective Maximum price

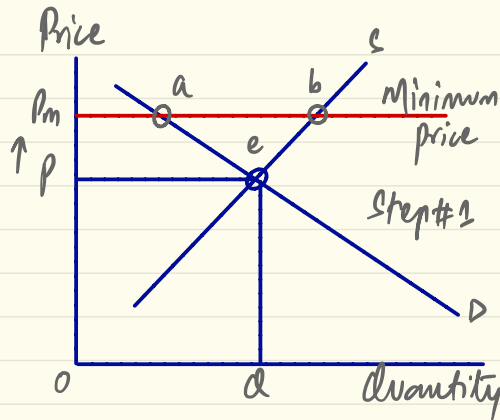


- * Back to price mechanism
- * Back to equilibrium

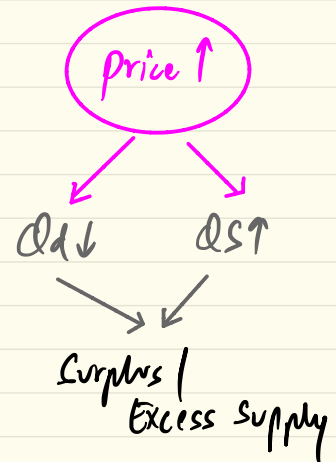
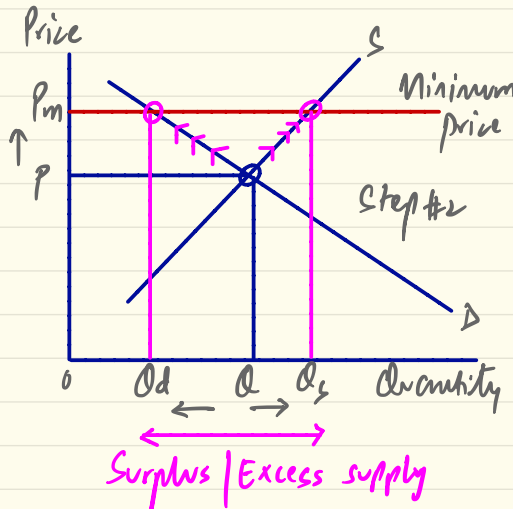
Maximum price will be ineffective if imposed above the equilibrium, as it can't be raised but it can fall back to equilibrium, therefore ineffective price control.

② Minimum price

- Imposed by government
- For producers (Example)
- e.g. Farmers
- To protect their income
- create stability
- setting higher price so that they earn higher
- Must be imposed above the equilibrium



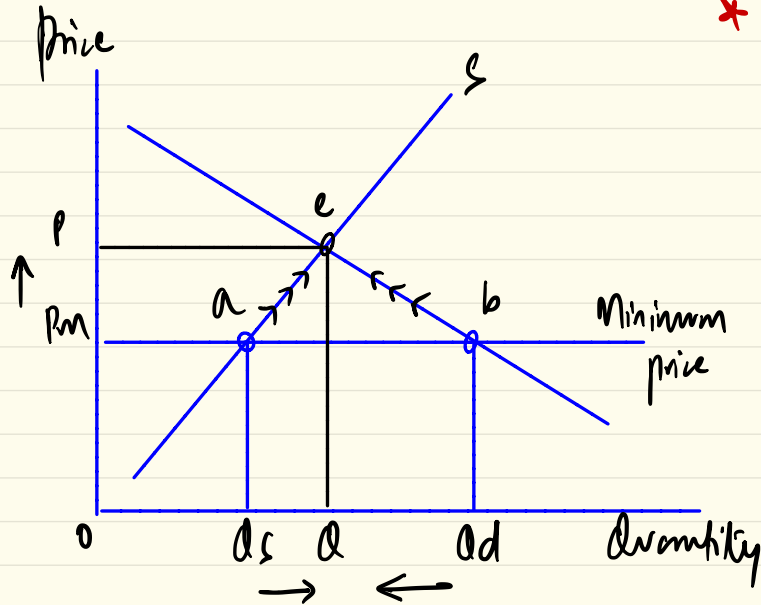
* It can be used by the government to reduce the consumption of demerit goods.



Minimum price :-

Minimum price is a government intervention, where the target is to benefit the producers, especially farmers, as they always face instability in their income because of pest attack or unexpected weather condition. Minimum price to be effective, it should always be imposed above the equilibrium, but this act creates surplus or excess supply (where quantity supplied exceeds quantity demand) because a rise in price encourages producers to extend their output but consumers are on other direction as they contract their quantity demand, resulting in surplus!

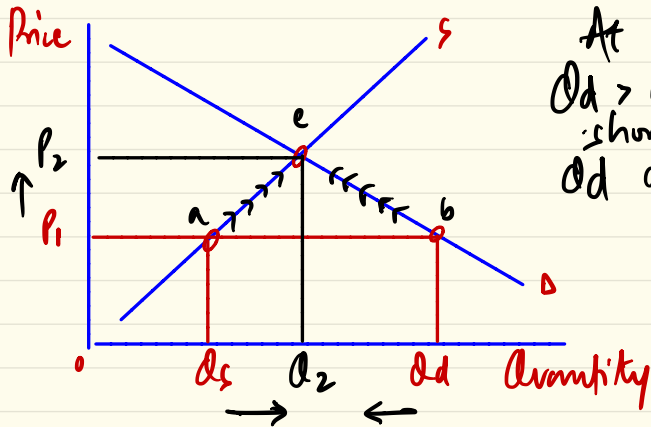
Ineffective minimum price → Back to equilibrium



* Minimum price will be ineffective if imposed below the equilibrium as it can't fall further from that level but it can raise back to equilibrium

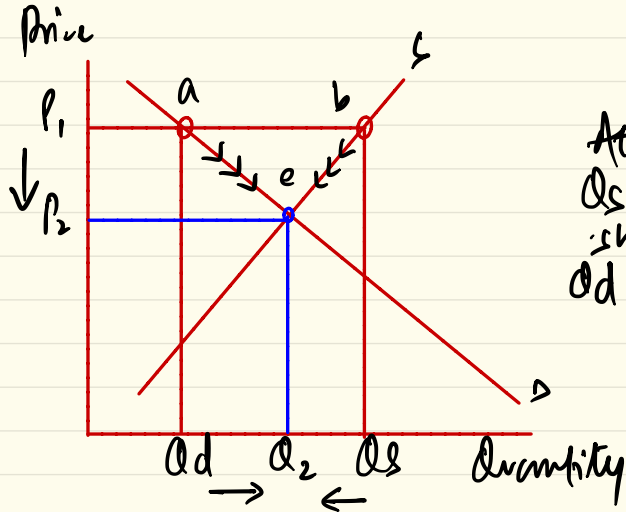
How disequilibrium can be eliminated!

Situation #1, Dis-equilibrium (Below equilibrium)



At P_1 price there exists shortage where $Q_d > Q_s$, market forces will eliminate this shortage through rise in price which contracts Q_d and extends Q_s .

Situation #2:- Dis-equilibrium (Above equilibrium)



At P_1 price there exists surplus where $Q_s > Q_d$, market forces will eliminate this shortage through fall in price which extends Q_d and contracts Q_s .

Questions

Marks: 36

- Q1 Define equilibrium? 4
- Q2 Define disequilibrium? 2
- Q3 Explain how imposition of maximum price can result in shortage? 6
- Q4 Explain how imposition of minimum price can result in surplus? 6
- Q5 Explain why maximum price can be ineffective above the equilibrium? 6
- Q6 Explain why minimum price can be ineffective below the equilibrium? 6
- Q7 Explain how market forces eliminates shortage and surplus? 6.

Note:- Draw diagram in every question.